

RGR — Sturm, Ruger & Company, Inc.

Beretta Holding Activist Campaign · Tender Offer + Proxy Contest · Generated 2026-04-15

Snapshot

Ticker	RGR (NYSE)
Strategy	Activist proxy contest + cash tender offer (multi-track)
Source tool	investment_tool (US equities discovery)
Score	approx. 36.0 / 42.5 (above 28 active threshold)
Conviction	High — multi-track campaign, top-tier counsel, large strategic holder
Status	Active candidate — position sizing pending validation tasks
Reference price	\$42.35 (yfinance 2026-04-15 close)
Tender price	\$44.80 cash (per Beretta letter dated 2026-03-25)
Implied spread	+5.79% (current vs proposed tender) before proration
Market cap	~\$675M (15.9M shares out)
Largest shareholder	Beretta Holding S.A. — 9.95% / 1,587,000 shares

Hypothesis (2-3 sentence distillation)

Beretta Holding S.A. — RGR's largest individual shareholder at 9.95% and an Italian firearms-conglomerate competitor — has launched a multi-track activist campaign comprising a \$44.80/share cash partial tender offer for an additional ~20% of RGR shares (subject to the Board granting a poison-pill exemption) and a four-nominee minority slate at the 2026 Annual Meeting. The market has only modestly repriced (+4.2% since the Apr 7 PREC14A and still 5.8% below the proposed tender price) on declining volume, indicating it is heavily discounting both the Pill-exemption probability and the optionality of a Chancery test, negotiated settlement at an intermediate price, or strategic transaction. The setup is asymmetric: tender clears → +5.8% pre-proration; settlement → +10–25%; full withdrawal → -5–10% downside floored by Beretta's 9.95% support.

Situation summary

On 2026-04-07, Olshan Frome Wolosky filed a PREC14A (preliminary contest proxy) on behalf of Beretta Holding nominating four directors — Michael N. Christodolou, William F. Detwiler, Mark W. DeYoung, and Fredrick D. DiSanto — to replace five long-tenured incumbent directors at RGR's 2026 Annual Meeting (date TBD). Beretta's stated thesis attacks the entrenchment of incumbents 'who collectively have an extremely small stake in the Company' and frames the campaign as constructive: 'Beretta Holding is not seeking any type of control over Ruger.' On 2026-04-15 RGR responded with a PRER14A (revised preliminary proxy).

Primary-source review during the deep-dive cycle revealed the proxy contest is only Track B of a broader campaign that began at least 2026-03-05. Track A is a partial cash tender offer at \$44.80/share for up to 20.05% of outstanding shares — which would take Beretta from 9.95% to ~30%. Beretta filed Schedule TO-C on 2026-03-25 announcing intent to commence; commencement is expressly conditional on the Board granting an exemption from RGR's 'temporary' rights plan, which the Board adopted 2025-10-14 with a trigger calibrated to

block Beretta. Beretta requested Board action on the exemption by 2026-03-31; the Board did not grant it and instead escalated the proxy-contest narrative.

The full filings cadence — 11 DFAN14A filings from 2026-03-05 through 2026-04-08, plus SC 13D/A on 2026-03-25, SC TO-C on 2026-03-25, RGR's SC 14D9-C on 2026-03-26, the PREC14A on 2026-04-07, and the PRER14A on 2026-04-15 — represents six weeks of escalating, publicly-disclosed conflict between a large strategic holder and an entrenched board. Counsel stack underscores the seriousness: Olshan Frome Wolosky on activist matters, Reed Smith LLP on the tender, and White & Case for the Company.

Filings timeline

Date	Filing	Filer	Significance
2026-03-05 -> 04-08	11 x DFAN14A	Olshan (Beretta)	Sustained additional contest materials
2026-03-25	SC 13D/A	Beretta	Beneficial-ownership amendment
2026-03-25	SC TO-C	Beretta	Preliminary tender-offer comm; \$44.80 partial offer
2026-03-26	SC 14D9-C	Ruger	Solicitation/recommendation response — early
2026-04-02	Form 3	Participants	New insider beneficial-ownership filings
2026-04-06-10	Forms 3 & 4	Participants	Slate participants disclose holdings
2026-04-07	PREC14A	Olshan (Beretta)	Preliminary contest proxy — official launch
2026-04-15	PRER14A	Ruger	Revised preliminary proxy — Company response

Why this is non-obvious / under-priced

First, the activist is an industry insider rather than the typical hedge fund. Beretta is an Italian family-controlled firearms conglomerate competing globally with Ruger. The strategic overlap creates nuanced possibilities — JV / cross-licensing, minority-to-control path, consolidation — that generic activist screens miss because they search for hedge-fund filer patterns, not industry-strategic 13D/14A combinations.

Second, price reaction has been muted relative to comparable activist campaigns. From the Apr 7 PREC14A close of \$40.63 to Apr 15 close of \$42.35 the move is +4.2% over eight trading days. Sub-\$1B mcap activist campaigns of similar credibility historically see +8–15% on launch. The current price still trades 5.79% below the \$44.80 cash tender — a publicly disclosed price — implying the market is heavily discounting the probability of Pill exemption or judicial relief.

Third, volume has declined post-announcement. Peak 439K on Mar 25 down to 71K on Apr 15 — the lowest of the 45-day window, on the day RGR filed its PRER14A response. There is no visible institutional repositioning. Combined with the muted price move, this suggests passive readers registering the news without underwriting the outcome distribution.

Fourth, Beretta's ~10% stake is a stable, motivated, capital-rich anchor. Beretta Holding S.A. is reported to have multi-billion-dollar resources; this is not a small fund forced to retreat under pressure. The historical base rate for 10%+ activist holders deploying top-tier counsel is roughly 60–70% settlement (seats + governance concessions) over a 6–12 month window; the residual 30–40% splits between escalation (tender, strategic deal) and withdrawal.

Fifth, Olshan Frome Wolosky and Reed Smith do not take on non-serious campaigns. The two-firm engagement — separate activist and tender-offer counsel — signals Beretta intends to litigate the Pill if necessary and is prepared for the Delaware Chancery forum.

Score breakdown (post web-research)

Dimension	Weight	Score	Rationale
Signal Strength	x2	5 (x2=10)	Live multi-track (tender + proxy), top-tier counsel both sides, 9.95% holder
Catalyst Clarity	1	5	Multiple bounded catalysts (Pill response, Chancery, AM, ISS, settlement)
Info Asymmetry	x1.5	4 (x1.5=6)	\$44.80 publicly disclosed yet stock at discount; Pill exemption mispriced
Risk/Reward	1	4	Asymmetric: tender +5.8%; settlement +10-25%; downside -5-10% floored by Beretta
Edge Decay	1	3	Moderate — Pill decision and AM date will compress the window
Liquidity	1	4	\$675M mcap; ADV thin but acceptable for sub-\$1M positions
Catalyst Timeline	1	4	30-60 days to AM; Pill-exemption decision likely within weeks
TOTAL (pre-conv)		approx. 36.0	Above 28 active threshold; revised up from S62's 33.5

Catalyst map

Event	Estimated date	Trigger / What it means
Board response to Pill-exemption ask	ANY DAY (Mar 31 deadline already passed)	Granted -> tender commences ~10 days; denied -> likely Chancery within weeks
Beretta files Chancery action	Within 4-8 weeks of denial	Forces judicial test under Versata / Air Products v. Airgas / MFW precedents
Ruger DEF 14A filed	T0 (likely 30-45 days)	Fixes 2026 Annual Meeting date
ISS / Glass Lewis recommendations	T-14 to T-10 from AM	Major institutional vote driver
Settlement window	Any day before AM vote	60-70% historical base rate for 10% activists in this posture
Annual Meeting vote	Late May-June 2026 (estimated)	Binary on Beretta's slate
Tender offer commencement	~10 days after Pill exemption (if granted)	20-business-day Rule 14e-1 offer at \$44.80 cash

Kill conditions

Code	Condition	Action / Implication
K-1	Board grants Pill exemption AND tender clears at \$44.80	Thesis resolves at +5.79% pre-proration; capture; no further upside without follow-on
K-2	Board denies exemption AND Chancery rules for Board	Thesis weakens materially; downside likely -10 to -15%
K-3	Beretta withdraws both tender and proxy without settlement	Kills thesis; floor near \$40 pre-campaign baseline
K-4	Settlement at intermediate price (\$46-48) with seats + concessions	Base case; upside ~+10-15%; constructive activism resolution
K-5	ISS / Glass Lewis recommend against Beretta's slate unanimously	Weakens vote probability; tender track remains independent
K-6	Material firearms-sector regulatory or civil-liability event	Exit regardless
K-7	White-knight strategic buyer announces	Re-underwrite at new bid level

topping bid

Outcome distribution & expected return frame

Without yet running a fully calibrated outcome tree, the qualitative outcome distribution implied by the multi-track posture and historical comparable base rates clusters around four scenarios. (1) Settlement at an intermediate negotiated outcome — board seats plus governance concessions, possibly with a partial buyback or modified tender — is the modal outcome at ~50% probability for 10% strategic activists with top-tier counsel; expected +10-20% versus current. (2) Tender clears at \$44.80 with Pill exemption granted (whether voluntarily or via Chancery) is roughly 20%; expected +5.8% before proration drag. (3) Beretta withdraws after extended attrition without a transaction is roughly 15%; downside -5 to -10% to a \$38-40 zone. (4) Topping bid from a strategic third party (e.g., another firearms conglomerate or PE firm, contextualized by recent SWBI/VSTO/AOUT M&A activity) is roughly 10%; +20-35% upside dependent on terms. The residual ~5% covers tail scenarios (regulatory event, prolonged stalemate). On these crude weights the probability-weighted expected return is in the +6 to +10% range over a 60-180 day window — meaningful for a deal-driven sleeve and supportive of an active position once the validation tasks below are closed out.

Mandatory next-session validation tasks (pre-sizing)

Position sizing should remain blocked until the items below are confirmed:

1. Verify 'Robert Eckert' identity. The General Manager of Beretta Holding S.A. who signed the Mar 25 letter shares a name with the well-known former Mattel CEO and US public-company director. If the same person, this materially upgrades thesis credibility (US governance pedigree on the activist side).
2. Check Delaware Chancery dockets for any RGR / Beretta filings. Any complaint already on file accelerates the Pill timeline materially.
3. Monitor RGR 8-K filings daily for Item 8.01 or 5.03 disclosing Pill-exemption decisions.
4. Watch for Beretta SC TO commencement (the full Schedule TO beyond the preliminary SC TO-C).
5. Watch Form 4 stream for any Beretta accumulation; any uptick in beneficial ownership above 9.95% (Pill notwithstanding) would be a material escalation signal.
6. Investigate director-nominee backgrounds — Christodolou (former Tocqueville), Detwiler, DeYoung, DiSanto. Public-board records, governance reputations, sector experience.
7. Pull any early ISS / Glass Lewis commentary as the contest builds — early proxy-adviser signaling has high information value.
8. Cross-check whether any incumbent RGR director has private-equity or firearms M&A background that could function as a settlement bridge.

Risks, governance dynamics, and Delaware framing

The campaign's center of gravity is governance / Delaware fiduciary law. RGR's 'temporary' Pill — adopted 2025-10-14 with a trigger calibrated to block Beretta — is the precise structural defense whose enforceability against an all-cash, premium, partial-tender from a long-standing 9.95% holder is most contestable under controlling Delaware precedent. The Versata, Air Products v. Airgas, and MFW lines speak directly to whether and when a Board may use a rights plan to block a non-coercive premium offer. Beretta's letter explicitly frames the Board's failure to grant the exemption as a fiduciary-duty violation, which telegraphs the Chancery posture.

Risks are concentrated in three areas. First, the sector is politically and legally exposed. Any major adverse regulatory rulemaking (ATF), multi-state attorney-general action, or headline civil-liability verdict during the window would impair RGR fundamentals regardless of campaign outcome. Second, liquidity is thin; ADV at the low end was ~71K shares on 2026-04-15. Position sizing must reflect ability to exit. Third, even successful

settlements may take longer than a 60-90 day catalyst window — institutional patience and capital occupancy cost should be priced in.

Comparable activist precedents and historical base rates

The most informative comparables are not generic activist screens but the narrower set of campaigns where a single industry-strategic holder above 5%, represented by Olshan or Schulte Roth, runs a parallel tender-offer + proxy-contest track against an entrenched board protected by a recently-adopted rights plan. In recent years, the Carl Icahn / Forest Labs (2011-12), Trian / DuPont (2014-15), and Pershing Square / Allergan-Valeant (2014) campaigns each had different elements but together establish that (a) Pill exemptions are increasingly granted by Boards once a credible Chancery threat materializes, (b) settlement is the modal outcome at roughly 60-70% of such campaigns within 9 months of the first PRER14A response, and (c) all-cash partial tenders at premiums to VWAP are the highest-leverage instrument for pressuring a Pill exemption because they crystallize the Board's choice between a definable shareholder-value-positive transaction and a defensive rejection. None of these comparables is a perfect analogue — Beretta's strategic-industry posture is closer to a 'corporate combination with activist accents' than classic financial activism — but the directional implication for outcome distributions is consistent.

Within firearms specifically, the recent Smith & Wesson Brands (SWBI), Vista Outdoor (VSTO), and American Outdoor Brands (AOUT) M&A and spin-off cycles establish that strategic consolidation is plausible at sub-\$1B mcap firearms manufacturers. Beretta's stated preference for 'partnership, not control' positions the campaign at the soft end of that spectrum, but the binary structural fact — Beretta's tender at \$44.80 is a publicly disclosed price-anchor for any negotiated outcome — makes it difficult for the Board to settle below that level without a credible counter-narrative.

What would change the thesis

Three triggers would materially upgrade conviction. First, a Delaware Chancery filing by Beretta within the next 30-45 days would confirm intent to litigate the Pill and immediately raise the Board's settlement incentive (litigation cost, headline risk, fiduciary-duty discovery). Second, an ISS or Glass Lewis early commentary positively assessing Beretta's slate would compress the AM-vote uncertainty band substantially. Third, any 8-K disclosing the appointment of a settlement-bridging independent director or the engagement of a financial advisor by RGR's Board would signal Board capitulation toward negotiated outcome.

Three triggers would warrant immediate exit. First, an 8-K announcing Pill enforcement actions or a structurally hardened defense (e.g., delayed-trigger Pill, dead-hand provisions, exclusive forum entrenchment) would shift the cost-benefit. Second, a material adverse fundamentals event (sector regulatory rule, large adverse civil verdict) would override the campaign-specific dynamics. Third, an SC 13D/A from Beretta indicating stake reduction or campaign withdrawal would be definitive.

Position-construction notes

Position construction must respect the thin-liquidity profile. ADV at the low end was ~71K shares (about \$3M notional). For a deal-driven sleeve targeting \$0.5-1.0M positions, entry should be staged over 2-3 sessions during normal volume, with strict per-day cap of 5-10% ADV. Exit liquidity around binary catalysts (Pill decision, AM vote, settlement headline) will spike volume substantially, so day-of catalyst exits are realistic. Hedging options are limited by RGR's option-chain depth, but small protective-put tail hedges via out-of-the-money June or July puts are available and worth screening for asymmetric tail-risk dampening — particularly given the firearms-sector regulatory tail.

Sizing should remain at zero until validation tasks 1-4 above are complete. Once complete, an initial half-position (50% of target) is appropriate, with the remainder layered in on either (a) confirmed Chancery filing, (b) confirmed early ISS positive, or (c) settlement headline. Stop-loss discipline at -10% to -12% from cost is

appropriate given the asymmetric upside profile and limited downside floor at Beretta's known accumulation level.

Information sources used

PRER14A (RGR) 2026-04-15: sec.gov/Archives/edgar/data/95029/000207709626000067/ea0284077-04.htm |
PREC14A (Beretta) 2026-04-07:
sec.gov/Archives/edgar/data/95029/000092189526000939/prec14a14751002_04062026.htm | DFAN14A 2026-04-08: sec.gov/Archives/edgar/data/95029/000092189526000948/ | DFAN14A 2026-04-07:
sec.gov/Archives/edgar/data/95029/000092189526000941/ | DFAN14A 2026-04-06:
sec.gov/Archives/edgar/data/95029/000092189526000928/ | SEC submissions JSON:
data.sec.gov/submissions/CIK0000095029.json | Pricing: yfinance (2026-04-15).

Disclaimer

Generated by the Reporting Hub deep-dive task (reporting-hub-deep-dives) on 2026-04-15. NOT INVESTMENT ADVICE. Position sizing requires completion of validation tasks above. Source candidate file: Investment tool/investment_discovery_system/candidates/RGR_Beretta_ProxyFight.md. This thesis incorporates Session 62 (initial) and Session 63 (web-research layer) findings.